

NVIDIA Corporation

NVDA NASDAQ

Buy

\$225.01 ▼ 0.07%

12M Price Target
\$260.00

52-Week Range
\$164.07 – \$236.54

Market Cap
\$5.45T

NVDA: Consolidating Near Highs as AI Capex Debate Heats Up

WHAT HAPPENED

- NVDA is basically flat (\$225, -0.07%) but sitting at 84% of its 52-week range — the stock is coiled near highs, digesting gains rather than breaking out. The interesting overnight item is the WSJ report that \$3T in AI spending commitments are being kept off balance sheets. That's a double-edged sword: it confirms the AI capex tsunami is real (bullish for NVDA orders), but it also raises the "is this a bubble?" question that could hit sentiment fast.
- Options flow is loudly bullish — put/call ratio of 0.49 (way more calls than puts being bought) plus a huge unusual call sweep at the \$212.50 strike. Translation: smart money is positioning for upside, not hedging for a crash.

WHY IT MATTERS

That WSJ piece about \$3T in off-balance-sheet AI commitments is the story to watch. If regulators or accounting standards bodies force hyperscalers (Microsoft, Meta, Google, Oracle) to put those obligations on their books, their reported earnings take a hit and Wall Street could pressure them to slow spending — that's the single biggest risk to NVDA's order book. On the flip side, the fact that spending is this aggressive tells you the AI arms race isn't slowing, and NVDA still owns ~90% of the training chip market. The stock trading at 84% of its 52-week range with bullish options flow suggests the market thinks the next catalyst (likely earnings late August) breaks it higher, not lower.

POLICY & POLITICAL WATCH

Two things matter right now: (1) The Trump administration's AI Action Plan continues to lean pro-US-chip-dominance, and the recent deal allowing NVDA to sell H20 chips back into China (in exchange for a 15% revenue share to the US government) is unusual but net-positive — it reopens billions in China revenue that was zeroed out. (2) Watch for any Congressional pushback on that revenue-share arrangement; some hawks are calling it a bad precedent. Also on the radar: the CHIPS Act 2.0 discussions and potential expanded export controls on Blackwell-class chips — if controls tighten, China revenue evaporates again.

IS IT EXPENSIVE?

At ~\$5.45T market cap and roughly 38x forward earnings, you're paying \$38 for every \$1 of profit NVDA is expected to make next year — expensive by S&P standards (which trades around 22x) but actually reasonable for a company growing revenue 50%+ with 75% gross margins. The key question isn't "is it expensive?" — it's "does the AI capex cycle last 3 more years or 8?" If it's 8, this stock is cheap. If hyperscaler spending peaks in 2026, the multiple compresses fast.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

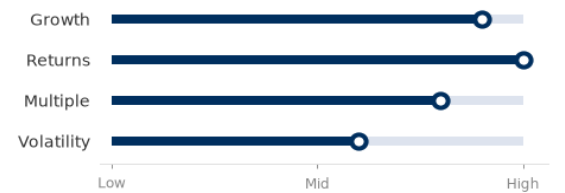
AI-Generated Pre-Market Brief | 2026-08-18 13:22 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

Price (USD)	\$225.01
12M Price Target	\$260.00
Upside / (Downside)	+15.6%
Market Cap	\$5.45T
FY2027E Revenue	\$235M
FY2028E Revenue	\$295M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	38.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$240.00	\$228.00	\$210.00
6 Months	\$270.00	\$245.00	\$195.00
1 Year	\$300.00	\$260.00	\$180.00
2 Years	\$380.00	\$310.00	\$170.00
5 Years	\$550.00	\$400.00	\$150.00
10 Years	\$900.00	\$600.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: AI infrastructure (chips, data centers, power/utilities feeding data centers), defense tech (drone and autonomy budgets expanding), and nuclear/energy names tied to data center power demand.

COOLING OFF: Traditional enterprise software that hasn't figured out its AI story, and consumer discretionary as tariffs bite margins.

ROTATION WATCH: Money is rotating from "AI beneficiaries you have to squint to see" back to the picks-and-shovels core (NVDA, AVGO, and power infrastructure). The Anthropic funding news and continued SpaceX/xAI capital raises reinforce that private AI money is still flooding in — that liquidity eventually becomes NVDA orders.

RELATED PLAY: If you believe the NVDA thesis, look at the power side — Vistra (VST), Constellation (CEG), and GE Vernova (GEV). Data centers can't run without electricity, and that's the actual bottleneck now, not chips.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom AI silicon deals with hyperscalers — the "other" AI chip trade that keeps pushing higher.
- ORCL (Oracle): Massive cloud infrastructure backlog announcements have re-rated the stock; they're a huge NVDA customer.

NVDA CONTEXT: NVDA is holding near highs but not leading the tape day-to-day — that's actually healthy. Sideways consolidation at 84% of range after a monster run means the stock is building a base, not topping. If it were lagging AVGO and ORCL by 10%+ that would concern me; a few points of underperformance in a consolidation window is normal.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm confident in the direction but not pounding the table because the stock is up huge and near-term earnings are binary.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a lottery ticket, but sizing bigger than that concentrates too much on one AI capex outcome.

ENTRY POINTS: I'd add on pullbacks to \$215-220 (recent support) and get more aggressive if we see \$200 on a broad market flush.

TIME HORIZON: 12-24 months, with the near-term catalyst being August earnings and hyperscaler capex commentary through Q3.

WHEN TO BAIL: If any two of the top-4 hyperscalers cut capex guidance by 15%+, or if Blackwell has a material yield/supply problem that pushes out revenue recognition by more than a quarter.

HEDGING: Simplest hedge is buying a put option struck around \$210 expiring in 2-3 months — think of it as paying a small insurance premium so that if the stock drops 15%, that insurance pays out and offsets your losses. Costs maybe 2-3% of your position value.